Revision Date:
11/01/2024

Background:
Individuals who meet the CalFresh definition of elderly and/or disabled are eligible to deduct qualifying medical expenses from their income to determine CalFresh eligibility.

Purpose:
This section has been updated due to the increase in the Standard Medical Deduction (SMD) from $120 to $150 and to include guidance on the treatment of reimbursable medical expenses. Information previously found in CalFresh Program Guide (CFPG) Section 63-253 Determining Deductions for CalFresh Households is now obsolete as it has been merged into this section.

Policy:
An excess medical deduction is the medical expenses portion, excluding special diets, that exceeds the allowable amount per month incurred by any household (HH) member who is elderly and/or disabled. For a definition of elderly and disabled, see Section 63-101.

1. Standard Medical Deduction

Elderly and/or disabled HH members who verify medical expenses within the range of $35.01 to $185 per month will be given a SMD of $150 per month. HHs with verified medical expenses over $185 per month may claim actual expenses in excess of $35. See table below for a summary of the SMD.

Verified Medical Expenses	Eligibility
Under $35 a month	Not eligible for a medical deduction
$35.01 to $185 a month	HH is eligible to the SMD ($150)
$185.01 a month and over	Eligible to deduct actual expenses over $35

Note: HH members receiving benefits as a dependent of a disabled recipient are not eligible to receive this deduction.

For additional assistance, refer to the Medical Expenses and Deductions Flowchart Desk Aid.

2. Countable Medical Expenses

Expenses that are not reimbursed or covered by health insurance may count as medical deductions. Countable medical expenses, including those prescribed by a licensed practitioner or other qualified professional may include but are not limited to the following:

Type of Care	Covered Expenses
Medical	• Psychotherapy and rehabilitation services. • Hearing aids and batteries. • Acupuncture, chiropractic, or herbal treatments. • Health care supplies, equipment, and incontinence supplies. • Prosthetics (including assistive devices).

Dental	• Dentures. • Orthodontics.
Eye	• Eyeglasses. • Contacts. • Prescribed lens solutions.
Hospitalization or Outpatient Services	• Hospitalization and outpatient services must be provided by a facility authorized under state law for the following: o Treatment. o Nursing care and nursing home care. o Payments for individuals who were HH members prior to entering a hospital or nursing home.
Prescription Drugs and Costs of Medical Supplies	• Prescription drugs and over-the-counter medication o Excludes special diets, nutritional drinks and dietary supplements, such as vitamins. • Costs of medical supplies, sickroom equipment (including rental) or other prescribed equipment. **Note:** The cost of any substance considered illegal under federal law, even when prescribed, is **not** allowed.
Health Insurance Premiums, Copays and Share of Cost (SOC)	• The costs of health and hospitalization insurance policy premiums and co-pays. **Note**: Costs of policies that offer lump-sum payment due to death or dismemberment or income maintenance policies that offer to continue mortgage or loan payments while beneficiary is disabled are not allowable.
Medicare Premiums	• Medicare premiums related to coverage under Title XVIII of the Social Security Act.
Maintaining Service Animals	• Service and/emotional support animals must be trained to assist the individual with the medical issue for which the animal is prescribed or perform functions that elderly and/or disabled individuals cannot readily perform on their own. o Cost of securing and maintaining services animals including service animal food and veterinary bills are covered. **Note:** Document in the case record the reason the animal is required such as a disability and list the tasks the animal is trained to perform, no additional verifications will be required unless questionable. • Questionable information regarding service and support animals can be clarified by asking the HH only the following questions: o Is the animal required because of a disability? o What tasks is it trained to perform?

Transportation	• The out-of-pocket, non-reimbursed costs of travel through a third party, such as: o Public transportation, taxis, or ridesharing to health care appointments and pharmacies. **Note**: Unless questionable, verify medical travel by personal vehicle by verbal or written statement that travel was required for medical reasons. Calculate the expense by multiplying the number of round-trip miles by the federal business standard mileage rate provided by Internal Revenue Service (IRS). Use MapQuest or Google Maps to determine mileage.
Homemaker or Health Aid	• Maintaining an attendant, homemaker and home health aide, or childcare services housekeeper, necessary due to age, infirmity, or illness.

3. Verification

Do not limit the verification to a single type of document if the medical expense cannot be verified electronically. Assist the HH in obtaining verification if needed. For HHs to claim the excess medical deduction or the SMD, the qualifying medical expenses must be verified at application or when the expense is first reported. Failure to verify medical expenses must not result in denial, delay, or discontinuance of a HHs eligibility determination.

4. Billed Medical Expenses

A deduction is only allowed for the portion of non-reimbursable medical expenses that the HH is responsible to pay. Any portion of the expense that is reimbursable or covered by health insurance is not an allowable expense. When an eligible HH member submits a medical bill, including hospital bills the HH's medical expense is determined by the total amount of the non-reimbursable portion that is listed as due on the final bill (not the preliminary statement). If the eligible HH member is covered by multiple health insurance policies, a medical deduction can only be claimed after they have received or confirmed all reimbursements and payments from those insurance policies.

5. Applying the Medical Deduction

Medical expense deductions are applied to the HHs budget either as a one-time deduction or averaged over the certification period, whichever the HH chooses.

When a HH elects a one-time deduction, the deduction must be applied accordingly:

If …	then …
the billing period is specified on the medical bill,	a deduction will be allowed until the final day in the month the medical bill becomes due.
no billing period is specified on the medical bill,	the bill is considered to become due one month after the date of the bill.

Note: Medical bills paid prior to the month of initial application and past due bills are not deductible.

HHs reporting medical expenses during their certification period, may elect to have a one-time deduction or have the expense averaged over the remaining months of the certification period. Averaging begins in the month the change becomes effective. For HHs with 24 or 36-month certification periods, see table below.

HHs with a 24 or 36-month certification period, reporting a one-time medical expense…	have the option to…
during the first 12 months of the certification period,	• deduct the expenses for one month, or • average the expense over the remaining first 12 months of the certification period, or • average the expense over the remaining months of the certification period.
after the 12th month of the certification period,	• deduct the expense for one month, or • average the expense over the remaining months in the certification period.

When an eligible HH member has a written agreement contract, or other type of plan for payment of billed medical expenses, the stipulated amount of monthly payment will be determined by the SMD.

Averaging fluctuating medical expenses that are billed less often than monthly are only allowed as a deduction and averaged over the certification period if they are regularly recurring, reasonably anticipated, and verified to recur over the certification period. Previous billed expenses will only be used as an indicator that the expense is reasonably anticipated during the certification period and not to determine the average expense amount over the certification period. Fluctuating medical expenses include, but are not limited to:

- Medical services and treatments received regularly, but less often than monthly.
- Fluctuating monthly expenses for prescription drugs.

6. Medical Expense Reporting

HHs must report and verify all medical expenses at application and recertification. The monthly medical deduction for the certification period will be determined on the reported and verified expenses, including any expected changes related to the HHs medical condition, insurance coverage and currently verified expenses.

When a voluntary change in medical expenses is reported during the certification period, it must be verified under the following conditions:

- For changes that increase the HHs allotment, applicable verification must be obtained, and action must be taken. The adjustment must be applied by the first benefit allotment issued, at least 10 days after the change was reported. Do not issue a supplement for a previous month or the month the medical expense is reported if benefits are adjusted timely.
- For changes that result in a decrease or ineligibility, do not request verification and send the HH a No Change Notice of Action (NOA). Document the case record and follow-up at the next SAR 7 or recertification, whichever comes first.
- For changes reported from sources other than the HH, do not request verification and do not take action.

Example 1	
Scenario	A new medical expense reported and verified on April 15th would result in a benefit increase.
Outcome	Increase the benefit allotment beginning with the May benefit month. Do not issue a supplement for April.
Example 2	
Scenario	A new or changed medical expense reported and verified on April 15th would result in a benefit decrease.
Outcome	Do not request verification. Send the HH a No-Change NOA. Document the case record for review at the next periodic report or recertification.

Other Program Impacts:
No Impact.

References:
Federal Nutrition Act (FNA) 2008 Section 17(b)(1)(A) and Section 5(5).
Code of Federal Regulations (CFR) 7 CFR 271.2.
All County Letter (ACL) 17-35, 19-89, and 21-13, 21-101, 24-59.
All County Information Notice (ACIN) I-63-05, I-06-96, and I-45-11.
Manual of Policy and Procedures (MPP) 63-502.251, 63-502.3, and 63-503.

Sunset Date:
This policy will be reviewed for continuance by 10/31/2027.

Approval for Release:

11-22-24

Rick Wanne, Director
Self-Sufficiency Services